

Mortgage Refinance Calculator

Canada · CAD

Personal Financial Scenario Report

fincalcsmart.com/mortgage-refinance-calculator

EXECUTIVE SUMMARY

Refinancing May Reduce Cost

CA\$2,704.18

Current Payment

CA\$2,495.02

New Payment

CA\$209.16

Monthly Savings

CA\$9,050

Net Savings (Horizon)

Decision

Refinancing May Reduce Cost

MONTHLY PAYMENT COMPARISON



Total projected: CA\$2,704.18

Current Payment: CA\$2,704.18 (100.0%) New Payment: CA\$2,495.02 (92.3%)

AI-ASSISTED REFINANCE DECISION SUMMARY

Refinancing from 5.99% to 4.99% on a CA\$380,000 balance reduces your estimated monthly payment from CA\$2,704.18 to CA\$2,495.02 -- a saving of CA\$209.16/month. Break-even estimated at month 17 (~1.4 years).

Over the 5-year comparison horizon, the new mortgage saves approximately CA\$27,087 in interest compared to keeping the current mortgage. Total interest under the current mortgage over 5 years: CA\$162,250. Under the new mortgage: CA\$135,163. Net savings over the horizon (after refinance costs): CA\$9,050.

This comparison uses a 5-year horizon for interest and payment calculations. Extending the horizon or choosing a shorter amortization would change the total interest outcome. Canadian mortgages use semi-annual compounding per the Interest Act. Actual costs depend on lender fees, prepayment penalties, appraisal, and title charges not fully modeled here.

INPUTS & ASSUMPTIONS

Current Balance	CA\$380,000
Current Rate	5.99%
Years Remaining	20 yr
New Rate	4.99%
New Amortization	20 yr
Refinance Costs	CA\$3,500
Comparison Horizon	5 yr
Region	Canada

DETAILED RESULTS

Current Monthly Payment	CA\$2,704.18
New Monthly Payment	CA\$2,495.02
Monthly Savings	CA\$209.16
New Principal	CA\$380,000
Break-Even	Month 17
Current Interest (Horizon)	CA\$162,250
New Interest (Horizon)	CA\$135,163
Interest Saved (Horizon)	CA\$27,087
Net Savings (Horizon)	CA\$9,050
Decision	Refinancing May Reduce Cost
Term Extension Warning	No

KEY DRIVERS / POSSIBLE ADJUSTMENTS

- Monthly savings of CA\$209.16/month (reduction from CA\$2,704.18 to CA\$2,495.02). Over the 5-year horizon this represents CA\$12,550 in cumulative payment change before interest adjustment.
- Refinance costs of CA\$3,500 are the primary break-even driver. Break-even estimated at month 17 (~1.4 years). If you plan to move before break-even, refinancing may not be cost-effective.
- Your amortization is not extended. Shorter repayment maintains or reduces total interest cost while lowering the rate.

METHODOLOGY

What this calculator models:

- Current monthly payment calculated from the current balance, rate, and years remaining. New monthly payment calculated from the new principal (balance + cash-out), new rate, and new amortization.
- Canadian mortgages: semi-annual compounding applied via the standard effective monthly rate conversion per the Interest Act. Rates entered as annual nominal rates.
- Total interest over the comparison horizon calculated by simulating payments for 5 years under each scenario. Break-even calculated as refinance costs divided by monthly savings (or 0 when costs are 0).

What this calculator does not model:

- Prepayment penalties on the existing mortgage.
- Lender origination fees, appraisal, title insurance, or legal costs beyond the entered refinance cost.
- Escrow account changes (property tax and insurance).
- Investment return on monthly savings if reinvested.
- CMHC re-qualification if the refinanced mortgage becomes insured.
- Tax deductibility of mortgage interest.

EDUCATIONAL DISCLAIMER

This report is for educational and illustrative purposes only. The refinance comparison uses assumed fixed rates and does not account for all lender fees, taxes, prepayment penalties, or investment alternatives. Actual savings depend on the final negotiated rate, lender-specific closing costs, and how long you retain the mortgage. This does not constitute financial, mortgage, or legal advice. Consult a licensed mortgage professional before refinancing.